

Act I: Building the Stage

Rules of the Game.

Module II:

The Port of Marginal Falls

Comparative Advantage, Specialization, Gains from Trade



Previously in Marginal Falls

- ◆ Scarcity
- ◆ Trade-offs
- ◆ Opportunity Cost
- ◆ Rational Agents
- ◆ Incentives
- ◆ Marginal Benefit
- ◆ Marginal Cost
- ◆ Efficiency

Every choice has a cost. Trade changes which costs matter.

The Port Opens

- Should Marginal Falls make everything by itself?
- Marginal Falls has workers, land, shops, farms, boats, and a port. But resources are still scarce.

What should the town produce, and what should it trade?

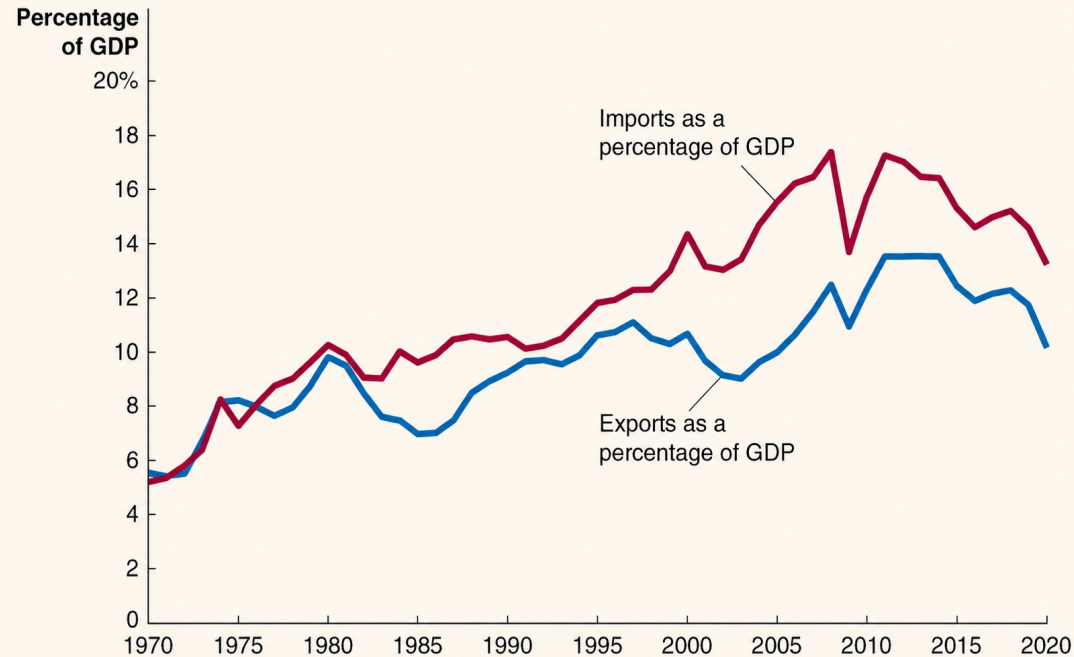
Goods Moving Through the Port

- **Imports:** goods Marginal Falls buys from outside.
- **Exports:** goods Marginal Falls sells outside.
- **Tariff:** money collected by the town on imported goods.



If Marginal Falls can make something itself, why would it ever import it?

The United States Has a Port too



In 2024:

- U.S. exports: \$3.19 trillion
- U.S. imports: \$4.11 trillion
- Total trade: over \$7 trillion

Why does trade happen, who gains, and who might lose?

Can Make vs Should Make

Marginal Falls may be able to make fish crates.

But Should it?

What does the town give up when it makes blankets instead of fish crates?

Let's use the Port

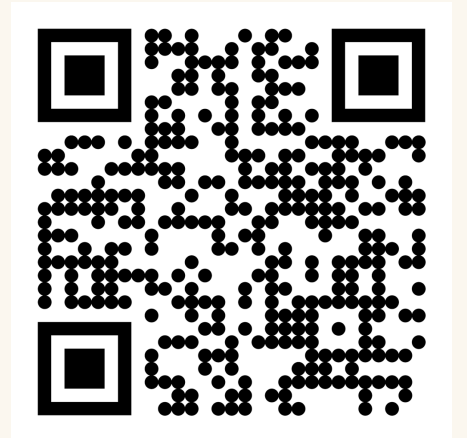
<https://econgames.promitkchaudhuri.com/trade>

Advise Marginal Falls as the Port opens:

Round 1: Choose what Marginal Falls should produce without trade.

Round 2: Choose what goods to bring to the dock.

Round 3: Submit a trade offer to Harbor Point.



Absolute Advantage

The ability of an economic agent to produce more of a good or service than competitors, using the same amount of resources.

What 1 crew member can produce?

Town	Wool Blankets	Fish Crates
Marginal Falls	4	8
Harbor Point	2	6

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Opportunity Cost

Marginal Falls:

- 1 crew member makes 4 blankets or 8 crates.
- Opportunity cost of 4 blankets is 8 crates.
- Opportunity cost of 1 blanket is $\frac{8}{4} = 2$ crates.

Similarly, Opportunity cost for 1 crate is $\frac{1}{2}$ blanket.

Comparative Advantage

The ability of an economic agent to produce a good or service at a lower opportunity cost than competitors.

Opportunity cost for each of the towns

Town	Wool Blankets	Fish Crates
Marginal Falls	2	$1/2$
Harbor Point	3	$1/3$

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Harbor Point	3	1/3

Autarky production (No Trade)

Both the towns have 10 crews to allocate.

Town	Wool Blankets	Fish Crates
Marginal Falls	20	40
Harbor Point	16	12

Complete Specialization

What 1 crew can produce?

Town	Wool Blankets	Fish Crates
Marginal Falls	4	8
Harbor Point	2	6

Specialized Production:

Town	Wool Blankets	Fish Crates
Marginal Falls	40	0
Harbor Point	0	60

Gains from Trade

Town	Autarky	Specialization	Trade		After Trade	Gains
			Export	Import		
Marginal Falls	20 wool, 40 fish	40 wool, 0 fish	18 w	42 f	22 wool, 42 fish	+2 wool, +2 fish
Harbor Point	16 wool, 12 fish	0 wool, 60 fish	42 f	18 w	18 wool, 18 fish	+2 wool, +6 fish